Let us now take up the problem of converting our present credit banking system into a deposit banking system in which the per capita supply of dollars is kept constant. The method of converting our present system into the new system is best understood by taking one bank and analyzing what needs to be done to convert it into a deposit bank with 100% reserves behind checking accounts. For this purpose, let us take the Wells Fargo Bank and Union Trust Co., of San Francisco, California. Their Statement of Condition on June 30, 1954 was as follows: ]Statement of Condition not reproduced from the original. Totals only are provided here: Total Assets: $515,724,038.74; Total Liabilities: $481,413,566.65; Undivided Profits: $24,853,408.24 Member Federal Reserve System & Federal Deposit Insurance Corp. *$48,311,886.94 in securities and $500,000.00 of other assets are pledged to secure Public & Trust Deposits and for other purposes as required or permitted by law. Our objective will be to divide this bank into two separate and distinct sections -- a Deposit Section and a Savings and Loan Section. The function of the Deposit Section will be that of a warehouse, pure and simple. It will operate as the Bank of Amsterdam operated before it became corrupt. Deposits will be accepted for safekeeping. The bank would not be allowed to use these deposits, but would merely facilitate the transfer of claims to these deposits by means of checking accounts. All checks drawn against such deposits would therefore be backed 100% by actual money. The function of the Savings and Loan Section will be to obtain the savings of the community for the purpose of making loans to the community. The ideal toward which we should strive is a Savings and Loan Section that obtains lendable funds by selling the bank's bonds. In other words, the ideal Savings and Loan Section of a bank should have a bonded indebtedness to the public rather than deposits that are withdrawable on 30 days' notice. And of course, all the bank's loans should mature on or before its outstanding bonds. When operating this way, the bank is free to lend all the savings of the community that have been placed with it -- rather than having to retain a 5% or 10% cash reserve to honor requests for withdrawals. And the person holding a bank bond always has a liquid asset that can be exchanged for money in the event of an emergency. It is not possible, of course, to attain this ideal overnight. But as a start, the Savings and Loan Section of the bank should be set up much the same as a Savings and Loan Association. It should have a minimum cash reserve of 5% to honor occasional requests for withdrawals. Then, as its outstanding loans are paid back, it should approach the savings depositors -- one by one -- and tell them that their savings can no longer be held as deposits that can be withdrawn within 30 days. Each depositor would have to decide how long a period he wished to make his money available to the bank and buy a bank bond for that period of time. Eventually all savings deposits held by banks at the time of conversion to deposit banks would be converted into bonded indebtedness to the public. Now let's get down to the practical job of dividing this bank into two separate sections as outlined above. The bank has total demand deposits of $332,395,486.71. These are the deposits against which checks are being drawn and which should therefore be in the newly formed Deposit Section with a 100% reserve behind them. The bank already has cash reserves of $129,940,071.76. (Although these cash reserves include deposits with other banks, the entire amount can be treated as actual cash if all banks are converted to 100% reserves.) To bring the cash reserves of the Deposit Section up to 100% of its deposits requires an additional $202,455,414.95. However, the newly formed Savings and Loan Section will also need $7,450,904.00 to give it a 5% reserve behind its deposits (which total $149,018,079.94). So the bank will need a total of $209,906,318.95 in order to split itself into a Deposit Section with 100% reserves and a Savings and Loan Section with a 5% reserve. The government will print the required amount of money and lend it to the bank. But since the government already owes the bank $200,563,124.32 (U.S. Government Securities held by the bank), the government will advance the entire $209,906,318.95 to the bank, cancel the government securities held by the bank, and accept the bank's bonds in the amount of $9,343,194.63 to cover the difference. The bank's new statement [not produced here from the original] would then appear as follows: One point needs to be made crystal clear before going any further. The preceding plan for converting a